GOVERNMENT OF INDIA

Ministry of Environment, Forest & Climate Change

Protecting Nature While Advancing Sustainable Development

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SHRI NARENDRA MODI

HONORABLE PRIME MINISTER, INDIA



MESSAGE

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SHRI BHUPENDER YADAV

HONORABLE MINISTER,
MINISTRY OF ENVIRONMENT, FOREST AND CLIMATE CHANGE



MESSAGE

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SHRI MUNINDRA KUMAR

DIRECTOR GENERAL, CHAMBER OF COMMERCE AND INDUSTRIES OF INDIA



MESSAGE

Environmental sustainability and climate resilience have become central to India's long-term development strategy. The Ministry of Environment, Forest and Climate Change plays a critical role in balancing economic growth with ecological conservation through effective environmental governance, biodiversity protection, sustainable resource management, climate action, and green development initiatives.

The Chamber of Commerce and Industries of India (CCI India) recognizes that sustainable development can only be achieved through meaningful collaboration among government, industry, research institutions, financial organizations, startups, and civil society. Through policy advocacy, green investment facilitation, environmental innovation, industry partnerships, and sustainability-focused initiatives, CCI India remains committed to supporting the Ministry's efforts in building a resilient and environmentally responsible economy.

This Knowledge Paper presents an in-depth understanding of the Ministry's policy landscape, environmental priorities, regulatory framework, climate commitments, conservation initiatives, and emerging opportunities for collaboration. It explores strategic areas including renewable technologies, circular economy, carbon management, biodiversity conservation, waste management, green finance, sustainable industries, and environmental innovation.

The publication serves as a strategic resource for policymakers, environmental experts, investors, industry leaders, technology providers, researchers, development agencies, and academic institutions committed to advancing sustainable development. Through knowledge sharing and collaborative action, it seeks to promote responsible industrial growth, strengthen environmental stewardship, and enhance India's climate resilience.

As India continues its transition towards a greener and more sustainable future, effective partnerships will remain fundamental to achieving national and global environmental goals. CCI India looks forward to working alongside the Ministry in promoting sustainable growth, ecological conservation, and responsible development.

Munindra Kumar
Director General
CCI India

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PREFACE

India stands at a defining inflection point in its relationship with the natural environment. As the world's third-largest emitter of greenhouse gases, yet simultaneously one of its most bio diverse nations, India's trajectory on climate, forests, and ecological governance will shape not only its own future but also the fate of global sustainable development. The Ministry of Environment, Forest and Climate Change (MoEFCC) is the institutional custodian of this dual responsibility stewarding India's natural capital while enabling a green transition that is equitable, industrially competitive, and aligned with the nation's Viksit Bharat 2047 ambitions.

This Knowledge Paper has been prepared by the Chamber of Commerce and Industry (CCI India) to serve as a high-quality strategic reference for policymakers, senior bureaucrats, industry leaders, investors, and development partners who seek to engage meaningfully with MoEFCC's mandate, institutional architecture, and evolving programmatic priorities. The paper is not a descriptive catalogue of the Ministry's activities. It is, rather, an analytical instrument designed to map the structural gaps between where India is today and where it must be by 2031, and to identify the precise intervention spaces where organised industry, through a platform such as CCI India, can add distinctive and measurable value.

The national development context for this paper is one of extraordinary urgency and opportunity. India has committed to net-zero carbon emissions by 2070, to protecting 30% of its land under ecological conservation by 2030, and to mobilising USD 2.5 trillion in climate finance over the next decade. At the same time, domestic industries from manufacturing and infrastructure to agriculture and urban development are being reoriented around principles of circularity, green technology adoption, and environmental compliance. The gap between policy ambition and on-the-ground implementation remains significant, and it is within this gap that strategic industry-government collaboration becomes indispensable.

CCI India's vision is to serve as the premier institutional bridge between India's private sector and its environmental governance architecture. CCI India brings to this partnership a national network spanning 28 states and 8 Union Territories, deep institutional relationships with central ministries and state governments, a robust capacity to convene industry coalitions, facilitate knowledge transfer, promote green investment, and design implementation frameworks that translate policy intent into commercial and ecological outcomes.

This paper is intended for submission to Union Ministers, Secretaries to Government of India, NITI Aayog leadership, senior IAS/IFS officers, industry captains, international development agencies, multilateral institutions, and impact investors. It is designed to be actionable, authoritative, and analytically rigorous meeting the standards expected of government advisory documents prepared by institutions such as Deloitte, PwC, KPMG, or EY.

We believe that the convergence of climate imperative, industrial transformation, and national ambition creates a once-in-a-generation opportunity for India's private sector to become an active architect of sustainable development not a passive recipient of regulatory mandates. CCI India is positioned to lead this transformation.

Chamber of Commerce and Industry (CCI India)

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About CCI India

CCI India (The Chamber of Commerce and Industry of India) is a premier national business chamber dedicated to fostering economic growth, industry development, entrepreneurship, innovation, and investment promotion across India. As the voice of Indian business and industry, CCI India serves as a bridge between government, industry, startups, academia, investors, and civil society, facilitating meaningful collaboration for nation-building and sustainable development.

Through policy advocacy, business facilitation, research, stakeholder engagement, capacity building, and strategic partnerships, CCI India works to create an enabling environment for enterprises of all sizes. The Chamber actively supports key national initiatives such as Startup India, Make in India, Digital India, Atmanirbhar Bharat, Skill India, and Viksit Bharat 2047 by connecting innovative enterprises with government opportunities and promoting inclusive economic development.

CCI India operates through sector-specific councils, industry forums, knowledge platforms, and state-level engagements that address emerging opportunities and challenges across sectors including manufacturing, agriculture, technology, healthcare, education, infrastructure, sustainability, MSMEs, and startups. The Chamber regularly organizes policy dialogues, investment summits, business delegations, workshops, conferences, and knowledge-sharing initiatives to strengthen India's economic ecosystem.

With a strong commitment to innovation, entrepreneurship, and public-private collaboration, CCI India strives to empower enterprises, facilitate investment, enhance competitiveness, and contribute to India's journey toward becoming a globally competitive and economically resilient nation. Its role as a knowledge partner and industry catalyst enables ministries, departments, state governments, startups, and businesses to collaborate effectively in achieving national development objectives.

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1. Introduction to the Ministry of Environment, Forest and Climate Change

1.1 Constitutional and Legislative Mandate

The Ministry of Environment, Forest and Climate Change (MoEFCC) derives its foundational authority from Articles 48A and 51A(g) of the Constitution of India, which mandate the State to protect and improve the natural environment and impose on every citizen the duty to safeguard forests, lakes, rivers, and wildlife. These provisions, introduced through the 42nd Constitutional Amendment in 1976, reflect the framers' forward-looking recognition that environmental stewardship is inseparable from national sovereignty and intergenerational equity.

The Ministry's legislative architecture rests on three foundational statutes: the Environment (Protection) Act, 1986 enacted in the aftermath of the Bhopal gas tragedy as an umbrella framework for environmental regulation; the Forest (Conservation) Act, 1980, which prohibits diversion of forest land for non-forest purposes without prior approval of the Central Government; and the Wildlife (Protection) Act, 1972, which establishes India's system of protected areas, species conservation, and trade regulation. Together, these laws define MoEFCC's tripartite mandate: regulate industrial activity to prevent environmental degradation, conserve biodiversity and forest cover, and fulfil India's obligations under international environmental treaties.

1.2 Evolution and Institutional History

India's formal environmental governance architecture began taking shape in the early 1970s, catalysed by the Stockholm Conference on the Human Environment (1972), in which India played a prominent role. The Department of Environment was established in 1980 under the Prime Minister's Office, reflecting the political salience accorded to environmental protection. It was merged with the Department of Forests in 1985 to create the Ministry of Environment and Forests (MoEF). The word 'Climate Change' was formally added to the Ministry's name in 2014, signalling the institutional recognition that climate governance including India's participation in the UNFCCC process and the management of the National Action Plan on Climate Change is now a core ministerial responsibility.

1.3 Governance Role and Institutional Positioning

Within India's executive architecture, MoEFCC occupies a unique position as a regulatory, conservation, and diplomatic ministry a combination that is rare across Government of India's Cabinet ministries. Unlike production ministries (Agriculture, Steel, Petroleum), MoEFCC's primary function is not to stimulate output but to govern the environmental externalities of economic activity, protect ecologically sensitive areas, and manage India's international climate commitments. This creates an inherent tension with growth-oriented ministries that MoEFCC must navigate through the Environmental Impact Assessment (EIA) framework, the Forest Clearance mechanism, and its role in inter-ministerial coordination bodies.

The Ministry exercises its governance role through five inter-linked functions: (i) standard-setting and regulation, including air and water quality norms, hazardous waste management rules, and coastal zone regulations; (ii) clearance and permitting, through the Forest Advisory Committee and the Expert Appraisal Committees under EIA; (iii) conservation and protected area management, in partnership with state forest departments and the Wildlife Crime Control Bureau; (iv) international environmental diplomacy, including India's NDC commitments under the Paris Agreement and its positions in CBD, CITES, and Basel Convention negotiations; and (v) knowledge and research facilitation.

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1.4 National Significance

India is one of the world's seventeen mega-biodiverse countries, home to 7–8% of all recorded species despite occupying only 2.4% of the Earth's surface. With 713 million hectares of geographic area, approximately 21.76% (roughly 712,249 sq km per the India State of Forest Report 2023) constitutes recorded forest area, of which about 80.9 million hectares are classified as Reserved and Protected Forests. These forests support over 200 million tribal and forest-dependent communities, act as carbon sinks absorbing an estimated 200 million tonnes of CO2 equivalent annually, regulate water cycles for 13 major river systems, and underpin ecosystem services valued at over USD 450 billion per year.

In the context of India's net-zero target by 2070 and its NDC commitment to create an additional carbon sink of 2.5 to 3 billion tonnes of CO2 equivalent through forest and tree cover by 2030, MoEFCC's institutional effectiveness is no longer merely a matter of regulatory compliance it is a strategic national economic imperative. Climate-related disruptions cost India an estimated USD 79 billion annually (WRI, 2022), and the trajectory is expected to worsen without decisive policy action. CCI India's collaboration with MoEFCC, therefore, is not peripheral to economic development it is foundational to India's long-term growth resilience.

2. Historical Timeline of the Ministry

The institutional evolution of MoEFCC reflects the broader arc of India's development philosophy from a post-independence focus on resource extraction and industrialisation, through growing environmental consciousness in the 1970s, to the contemporary integration of climate change diplomacy and green economy transition. The following timeline documents the major legislative, institutional, and policy milestones that have shaped the Ministry's current architecture and mandate.

Year / Period	Milestone / Reform	Significance
1972	India participates in UN Stockholm Conference on Human Environment	Marks India's entry into global environmental diplomacy; catalyses domestic institutional response
1974	Water (Prevention and Control of Pollution) Act enacted	First comprehensive federal legislation on water quality; creates the CPCB/SPCB system
1976	42nd Constitutional Amendment Articles 48A and 51A(g)	Elevates environmental protection to constitutional obligation for State and citizens
1980	Department of Environment established; Forest (Conservation) Act enacted	Forest Act halts large-scale diversion of forest land; Department formalises environmental governance
1981	Air (Prevention and Control of Pollution) Act enacted	Extends pollution control to air quality; completes India's foundational pollution regulatory architecture

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